MODULE 4

CASE STUDY

Dropbox: The Three-Minute Video

How a demo video validated a billion-dollar idea before the product worked

Prepare this case before class. Come ready to take a position.

THE SITUATION

Dropbox, 2007

Drew Houston keeps forgetting his USB drive. He starts building a file sync tool, but the technical challenges are immense — file syncing across operating systems is notoriously hard. His prototype only works on one OS and is riddled with bugs.

His Y Combinator application is due. He can't demonstrate a working product. But he CAN show what it would do. He creates a 3-minute screencast showing Dropbox working seamlessly — and posts it to Hacker News.

KEY FACTS

- Solo founder in 2007
- File sync is technically hard
- Prototype: buggy, single-OS only
- YC application deadline approaching
- Competitors: 15+ file sync products
- 5,000 on waitlist before video

THE DECISION

Should Houston spend 3 months polishing the product, or test demand with a demo video first?

OPTION A

Polish the product — you can't sell vaporware, ship something real

OPTION B

Make the video — validate demand first, build second

OPTION C

Do both — quick video + parallel product development sprint

DISCUSSION QUESTIONS

Come prepared to defend your position with evidence from the case.

1. Where does 'a demo video with 75K signups' sit on the Validation Hierarchy of Evidence?
1. What's the difference between validation and delusion? How do you know signups would convert to users?
1. How does Build-Measure-Learn apply here? What was Houston measuring?
1. When is it appropriate to validate without a working product? When is it dangerous?